Strategia Case Competition 2026 - Round 2 Submission

CASE STUDY

Brewscape Beverages Pvt Ltd - A young Indian beverage company at a strategic crossroads

Team Name: GAMBINO

Institute: IIT MADRAS



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STRATEGIC CONTEXT:

- Founded in 2017, Brewscape is a *premium RTD cold brew coffee brand* focused on urban India.
- Early differentiation around **low sugar and craft positioning has weakened** as the category has matured.
- **Not an FMCG giant, a niche, capital constrained** startup trying to survive in a brutal consumer market.

74 days Working capital cycle - *Above FMCG norm*

6 Months Marketing runway - *Capital constrained*

2 quarters Flagship SKU decline - *Repeat demand risk*

CORE DIAGNOSIS:

01 | Differentiation expiry in a matured category

Premium cold brew has become commoditised as funded competitors buy attention through influencers, a game Brewscape cannot win. *Falling engagement reflects loss of strategic relevance, not execution failure.*

02 | Growth is outpacing financial and operational discipline

Revenue growth is increasing cash lock-up & working capital stress instead of improving liquidity. *Contract manufacturing limits production priority & control, creating silent risks to repeat consumption & brand trust.*

03 | Organisation has scaled faster than its management systems

Founder-led, informal decision making no longer fits a 30+ employee, multi-city organisation. *Rising sales attrition and unstable execution capacity threaten strategy delivery before benefits can materialise.*

Market-led expansion requires capital, operational control, and people stability → **Financial discipline demands focus, sequencing, and internal consolidation** → **These choices conflict and cannot be pursued simultaneously without trade-offs**

WHY THIS MOMENT MATTERS Delay erodes relevance quietly 🕒 | Scale magnifies operational flaws ⚠ | Attrition compounds execution risk 🔁

Brewscape is attempting to scale in a maturing & cluttered market without having stabilized its differentiation, cash flows, operations, and internal structure.

FORCED DECISION UNDER CONSTRAINTS

💰 6 months runway | 🔁 74-day WC cycle | 🏭 Low production control | 👥 Sales attrition

OPTIONS TABLE	Option 1: Reposition as a Functional, Health-Oriented Beverage	Option 2: Invest in Captive or Hybrid Manufacturing	Option 3: Raise Capital and Expand into New Metros
Upsides	• *Restores relevance* in a cluttered category • Drives repeat consumption and habit formation • Reduces dependence on influencer-led demand creation	• Improves product consistency and brand trust • Reduces dependency on third-party prioritisation • Builds long-term operational resilience	• Increases topline scale and market presence • Signals ambition to investors
Risks	• Requires credible, disciplined communication • Risk of confusing existing consumers if poorly articulated	• Increases fixed costs and breakeven pressure • Utilisation risk if demand remains volatile	• Growth amplifies existing operational and cultural weaknesses • External pressure increases margin for error
Executional challenges	• Choosing one functional promise and committing to it • Aligning product, messaging, and sales teams consistently	• Significant capex in a cash-constrained phase • Need for internal operational capability and management bandwidth	• Managing working capital stress across more markets • Scaling sales and supply chain systems simultaneously



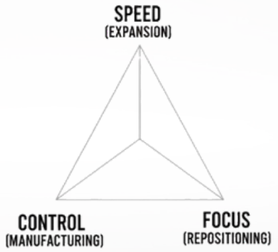
LINK TO BREWSCAPE'S FINANCIAL REALITY

- **Current scale likely sub-₹20 crore**
- **SOM implies 3–6× growth potential**
- Growth is meaningful but not explosive
- Reinforces need for repeat consumption and margin discipline

FOCUS FIRST EXPAND LATER

KEY TRADE-OFF: EARNED VS FORCED GROWTH

Aggressive expansion & heavy investment promise growth but magnify financial & operational risks. **Strategic focus and internal discipline delay visible scale but strengthen foundations.**



COMPARABLE COMPANY JOURNEYS

paper boat drinks and memories

SLEEPY OWL COFFEE

RAW PRESSERY

Brewscape must earn the right to scale by first restoring strategic clarity, operational control, and organisational stability. Expansion should follow, not precede, control.

MOVE UP | MOVE DOWN | MOVE SIDEWAYS

STRATEGIC INTENT

Shift Brewscape from a novelty-led premium brand to a repeat-driven, functional daily habit, while restoring liquidity discipline to fund sustainable growth.



Capital unlocked only after control

MARKETING STRATEGY

Repositioning

"Premium cold brew coffee" → "Everyday clean energy coffee"

- **Repeat consumption**
- *Habit formation*

Enforces relevance, than novelty

Functional Focus

Brewscape should lead with one defensible functional promise:
Smooth, low-acidity cold brew delivering steady energy without jitters

Health cues act as hygiene factors, not the headline, avoiding vague claims.

Communication Strategy

- Utility led messaging
- Use phrases like **3 pm meetings, post-workout.**
- Simple explainers and testimonials.

Influencer Strategy

- Don't eliminate
- Micro creators like nutritionists, productivity creators
- **Founder led content for credibility**

Product Launch

Pre-defined kill or scale thresholds → Concept validation based on repeat intent → Limited city and channel pilots with repeat tracking

If repeat purchase **< 25 % in 45 days,** discontinue the SKU.

FINANCE STRATEGY

Working Capital Interventions

- **Renegotiate modern trade payment terms to reduce receivable days**
- Offer selective distributor discounts for faster collections
- *Rationalise SKUs to reduce inventory lock-up and expiry risk*

Capital Raise Decision

Given weak cash flows & execution risk, equity is preferable to debt at this stage.

Debt increases fixed repayment risk, while equity provides a strategic cushion to stabilise operations before expansion.

RECOMMENDATION

Pursue a small equity raise linked to operational stability and repeat metrics, not aggressive geographic expansion.

Key Financial Metrics to Track (Next 2 Quarters)

1. **Cash conversion cycle** - Liquidity & working capital health
2. **Contribution margin by SKU** - Product profitability clarity
3. Marketing ROI based on **repeat rates** - Demand efficiency
4. Inventory days by city and SKU - To reduce cash lock-up

Marketing must drive predictable repeat demand, while finance restores cash discipline, ensuring growth strengthens the business rather than destabilising it.

"Premium Cold Brew"
"Everyday Clean Energy"

EXECUTION RISK CONTEXT

Without operational control and people stability, expansion will amplify brand, quality, and morale risks faster than revenue gains.

OPERATIONS STRATEGY

Model	Assessment
Status quo contract	Unreliable at scale
Full captive	Strategically attractive but financially premature
Hybrid model	**Optimal balance of control and capital discipline**

Hybrid Model Definition

1. **In-house production** for flagship SKUs to ensure quality & reliability
2. Contract manufacturing retained for secondary SKUs & overflow demand
3. Phased transition over 12–18 months to manage capex.

Supply Chain Stabilisation

- Explicit temperature SLAs with penalties
- Low-cost temperature data loggers and batch-level tracking
- Regional cold storage hubs and dedicated cold-chain partners

Inventory Strategy for Expansion

- Centralised demand forecasting with city-wise allocation
- SKU rationalisation by market to reduce complexity
- Smaller, more frequent replenishment cycles to limit expiry, cash lock-up

HR STRATEGY

Drivers of Rising Sales Attrition

- **Frequently shifting targets and priorities**
- High workload with limited control
- **Unclear incentive structures and payout uncertainty**
- No visible career progression

HR INTERVENTIONS

Short Term

1. Freeze frequent target changes
2. Define stable territories and responsibilities
3. Ensure predictable incentive payouts

Medium Term

1. Introduce role-based KPIs
2. Create sales team lead roles
3. Formalise training on product, distributors, and cold-chain discipline

Transition from founder-centric to role driven execution:



Culture Evolution

1. **Codify values and expected behaviours**
2. Weekly team updates and monthly town halls
3. Founder evolution from doers to system designers

EXECUTION INSIGHT | Operational control and people stability must precede expansion. Without them, growth amplifies risk, not returns. Systems and roles create scalable performance. Heroics do not.

STRATEGIC CLOSURE

Brewscape should prioritise stability before scale, building repeat-led demand, operational control, & organisational clarity as foundations for sustainable expansion.

PHASE 1 (0-3 MONTHS)

STABILISE THE CORE

- **Reposition brand communication around everyday clean energy and usage moments**
- **Freeze frequent sales target changes and stabilise territories**
- Renegotiate payment terms and rationalise low-performing SKUs
- Pilot disciplined product launch governance with clear kill metrics

Improved repeat intent, reduced cash lock-up, lower attrition risk

PHASE 1 (0-3 MONTHS)

BUILD CONTROL & PREDICTABILITY

- **Transition to hybrid manufacturing with in-house control for flagship SKUs**
- Implement cold chain SLAs, temperature tracking & OTIF monitoring
- **Formalise role-based KPIs, reporting lines, and incentive structures**
- Track contribution margins and repeat rates by SKU and city

Higher reliability, stronger execution discipline

PHASE 1 (0-3 MONTHS)

SELECTIVE, DISCIPLINED SCALE

- **Expand into new metros only where repeat purchase exceeds defined thresholds**
- Deploy equity capital selectively for capacity and cold-chain investments
- **Scale marketing spend in proportion to proven repeat demand**

Profitable, controllable growth without brand or balance sheet dilution

SUCCESS KPIS AND DECISION GATES

01 | Repeat Purchase Rate: Above **30% within 60 days** to validate relevance & habit formation

02 | Cash Conversion Cycle: Reduced by **20–25 days** to relieve working capital stress

03 | On-Time-In-Full Delivery: Above **95%** to protect product consistency & brand trust



BREWSCAPE - V2

Mission

Build Brewscape into a trusted, everyday clean-energy coffee brand with predictable demand and disciplined execution.

Strategic Priorities

- **Drive** repeat consumption over trial-led volume
- **Restore** cash discipline and working capital efficiency
- **Build** reliable operations before geographic expansion

Value Proposition

Deliver smooth, low-acidity cold brew that provides steady energy without jitters, designed for daily urban consumption.

FINAL INSIGHT | Sustainable scale is not a function of capital or speed, but of repeat demand, operational control, and organisational discipline. BREWSCAPE MUST STRENGHTEN THE BUSINESS BEFORE SCALING IT.

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THANK YOU

Happy to discuss our approach & assumptions.

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